

**Before the
FEDERAL MARITIME COMMISSION**

DOCKET NO. 22-21

MSRF, INC. v. YANG MING MARINE TRANSPORT CORPORATION

COMPLAINANTS REPLY TO RESPONDENT'S OPPOSITION BRIEF

PUBLIC VERSION

**PREPARED BY:
R. Kevin Williams
Clark Hill PLC
130 E Randolph Street, Suite 3900
Chicago, IL 60601
*Attorneys for Complainant
MSRF, Inc.***

TABLE OF CONTENTS

I.	INTRODUCTION.....	1
II.	RESPONSE TO YANG MING’S PROPOSED FINDINGS OF FACT	2
III.	SUMMARY OF ARGUMENT	2
IV.	ARGUMENT	2
	1. The Commission has Subject Matter Jurisdiction over MSRF’s Claims under 46 U.S.C. 41102(c) and 41104(a)(2).	2
	a. 46 U.S.C. 41102(c)	2
	b. 46 U.S.C. 41104(a)(2)	4
	c. 46 U.S.C. 41104(a)(9)	5
	2. Yang Ming Violated the MQC Provisions of the Contract.	5
	3. Yang Ming Violated 46 U.S.C. § 41104(a)(10).....	9
	4. MSRF Has Established a Right to Reparations.	9
	a. The Service Contract does not Preclude MSRF from Proving Injury.	10
	b. MSRF’s Damages Worksheet is Admissible.....	10
V.	CONCLUSION	12
VI.	CERTIFICATE OF SERVICE	13

TABLE OF AUTHORTIES

CASES

<i>Cargo One, Inc. v. COSCO Container Lines Co., Ltd.</i> , 28 S.R.R. 1635 (FMC 2000)	5
<i>D.I. Piazza Co. v. West Coast Lines, Inc.</i> , 3 F.M.C. 608	2
<i>Definition of Package</i> , 23 S.R.R. 111 (1985)	2
<i>M. Altieri v. Puerto Rico Ports Authority</i> , 7 F.M.C. 416, 419 (ALJ 1962)	3
<i>MCS Indus. Inc. v. COSCO Shipping Lines Co., Ltd. & MSC Mediterranean Shipping Co., SA</i> , FMC Docket No. 21-05, 2022 WL 458569 (Fed. Mar. Comm’n C.A.L.J. Feb. 4, 2022)	3
<i>New Orleans Stevedoring Co. v. Bd. of Commissioners of the Port of New Orleans</i> , Docket No. 00-11, 29 S.R.R. 1066, 1070, 2002 WL 33836158 (FMC June 28, 2002)	6
<i>New Orleans Stevedoring Co. v. FMC</i> , 80 Fed. Appx. 681 (D.C. Cir. 2003)	6
<i>OJ Commerce, LLC v. Hamburg Sud</i> , Docket No. 21-11, (Initial Decision, June 7, 2023)	9

STATUTES

41104(a)(2)	2, 4
46 U.S.C. 40502(f)	5
46 U.S.C. 41102(c)	2
U.S.C. 41104(a)(9),	5

OTHER AUTHORITIES

<i>Investigation of Certain Practices of Stockton Elevators</i> , 8 F.M.C. 187, 200-201. (1964)	6
---	---

REGULATIONS

Shipping Act. 83 Fed. Reg. 45367 (Sept. 7, 2018)	6
--	---

Before the
FEDERAL MARITIME COMMISSION

DOCKET NO. 22-21

MSRF Inc. v. YANG MING TRANSPORT CORPORATION

COMPLAINANT’S REPLY TO RESPONDENT’S OPPOSITION BRIEF

Complainant MSRF, Inc. (“MSRF”), through its undersigned attorneys, hereby submits this Reply to the Opposition Brief (“Opposition Brief”) filed by Respondent Yang Ming Transport Corporation (“Yang Ming” or “Respondent”) against MSRF’s Initial Brief (“MSRF Brief”). The Federal Maritime Commission (“FMC”) should rule that Yang Ming violated the Shipping Act and award reparations to MSRF.

I. INTRODUCTION

Yang Ming’s suggestion that the brevity of MSRF’s Brief is “sandbagging” or “throw[ing] up its hands” and dumping this matter in the Presiding Officer’s lap is unwarranted. Rather, the brevity of our initial brief indicates the relative simplicity of this matter. Indeed, the sheer volume of Yang Ming’s Opposition Brief, while well written, belies the simplicity of the issues before the Commission in this matter. MSRF and Yang Ming entered into Service Contract 494721 (“Service Contract”) and Yang Ming—without warning—refused to abide by the minimum quantity commitment (“MQC”) as required by the terms of the Service Contract. Such refusal is a clear violation of the Shipping Act. The violation significantly damaged MSRF. Accordingly, the Commission should award reparations to MSRF.

II. RESPONSE TO YANG MING’S PROPOSED FINDINGS OF FACT

MSRF’s response to Yang Ming’s Proposed Findings of Fact have been separately filed and are fully incorporated herein.

III. SUMMARY OF ARGUMENT

Yang Ming clearly violated the MQC in the Service Contract. Moreover, the Commission has jurisdiction over MSRF’s claims as a matter of law. Finally, the facts presented by MSRF in its Brief prove the elements of these claims and justify the award of reparations.

IV. ARGUMENT

1. The Commission has Subject Matter Jurisdiction over MSRF’s Claims under 46 U.S.C. 41102(c) and 41104(a)(2).

Yang Ming argues that the Commission does not have jurisdiction over MSRF’s claims under 46 U.S.C. 41102(c) and 41104(a)(2). This is incorrect.

a. 46 U.S.C. 41102(c)

Yang Ming argues that Section 41102(c) applies only to disputes “relating to or connected with receiving, handling, storing, or delivery property” and does not govern claims related to providing vessel space. Opposition Brief at 23. In making this argument, Respondent principally relies on *D.I. Piazza Co. v. West Coast Lines, Inc.*, 3 F.M.C. 608, and *Definition of Package*, 23 S.R.R. 111 (1985). These cases do not support Respondent’s proposition.

D.I. Piazza involved a dispute as to whether respondent’s acceptance of the agreed freight rate without furnishing exclusive use of the ship was an unreasonable practice. 3 F.M.C. at 616. The Federal Maritime Board held that acceptance of cargo owned by third-parties was not a practice “connected with the handling, storing or delivery of property.” *Id.*

In *Definition of Package*, the Commission was asked to define the term “package” as used in the Carriage of Goods by Sea Act (“COGSA”). In holding that the Commission did not have

the power to define this term, the Commission noted that the predecessor of Section 41102(c) did not provide “clear and unmistakable language” authorizing it to interpret COGSA. Thus, these decisions do not relate to the application of Section 41102(c) to a common carrier’s obligations to provide MQC under a service contract.

This conclusion is supported by recent decisions in which the Commission’s administrative law judges have rejected similar arguments. In *MCS Indus. Inc. v. COSCO Shipping Lines Co., Ltd. & MSC Mediterranean Shipping Co., SA*, FMC Docket No. 21-05, 2022 WL 458569 (Fed. Mar. Comm’n C.A.L.J. Feb. 4, 2022) (“*MCS Industries*”), the complainant alleged that the respondents engaged in practices that favored higher priced cargo and refused to satisfy their service contract commitments. The Presiding Officer determined that “[t]he Commission has an obligation to determine the reasonableness of practices by regulated entities that are alleged to violate the Shipping Act.” 2022 WL 458569 at *6.

Similarly, *OJ Commerce v. Hamburg Südamerikanische Dampfschiffahrts-Gesellschaft A/S & Do. KG*, FMC Dkt. No. 21-11, 2022 WL 538935 (Fed. Mar. Comm’n C.A.L.J. Feb. 18, 2022) (“*OJ Commerce*”) involved claims regarding the carrier’s failure to meet service commitments. The respondent argued for dismissal because the alleged failure to meet service commitments was a breach of contract claim and not a claim of a Shipping Act violation. *OJ Commerce* 2022 WL 538935, at *4. The Presiding Officer rejected this argument. “The Commission has an obligation to determine whether an entity has violated the Shipping Act, even when the allegations may constitute both breach of contract claims and claims that the entity violated the Shipping Act.” *Id. citations omitted*.

The Commission, however, has also determined that section 41102(c) covers “shipping practices.” *J.M. Altieri v. Puerto Rico Ports Authority*, 7 F.M.C. 416, 419 (ALJ 1962). In *J.M.*

Altieri, the Commission held that the failure to follow routing instructions or claims for loss of or damage to cargo are not considered shipping practices. *See id.* Here, MSRF is not claiming that Yang Ming failed to follow routing instructions nor is MSRF claiming that Yang Ming damaged MSRF's cargo. Rather, MSRF is claiming that Yang Ming's refusal to provide MSRF with the agreed upon cargo space between May 2021 and April 2022 was not in accordance with standard shipping practices.

Further, Yang Ming also argues that there is no evidence that proves Yang Ming violated Section 41102(c) of the Shipping Act. Opposition Brief at 26. To the contrary, the record is filled with evidence that shows Yang Ming's refusal to fulfill its service commitments. To be clear, the Service Contract required MSRF to tender a minimum quantity of 100 TEUs of cargo for shipment by Yang Ming via ocean vessels from ports in Asia or the United States to ports in the United States or Asia, respectively. *See* Complainant's Confidential Appendix ("CX") 0005-0147. During the Service Contract term, however, MSRF was able to book a paucity of shipments. *See* CX_0149-152 and Exhibit A (Lifting Report) to Goeke Declaration, RX_000306.

Yang Ming's unreasonable and unjust conduct during the Service Contract term forced MSRF to make alternate transportation arrangements with other common carriers at substantially higher spot market prices or forgo shipping its cargo altogether. As a result, there is no doubt that Yang Ming violated Section 41102(c) of the Shipping Act by failing to observe just and reasonable practices relating to its service commitments under the Service Contract.

b. 46 U.S.C. 41104(a)(2)

Yang Ming also argues that claims arising from a carrier's failure to meet its MQC space commitments are breach of contract claims over which the Commission lacks jurisdiction. Yang Ming's argument relies on *Cargo One, Inc. v. COSCO Container Lines Co., Ltd.*, 28 S.R.R. 1635

(FMC 2000) (“Cargo One”). Recent decisions by the Commission’s administrative law judges distinguish *Cargo One* and reject the limitations of 41104(a)(2) to service contract issues.

In *MCS Industries*, the Presiding Officer rejected the idea that 46 U.S.C. 40502(f) bars claims under Section 41104(a)(2) regarding a carrier’s failure to operate under the terms of its service contract. *See MCS Industries*, 2022 WL 485569 at *7. “[T]he Shipping Act requires common carriers to abide by the terms of their published tariffs and service contracts.” *Id.*

As discussed in Section II, below, the issues arising in this case relate to Yang Ming’s practices under the Service Contract. Thus, the Commission has jurisdiction over this matter.

c. 46 U.S.C. 41104(a)(9)

Yang Ming correctly states that MSRF had abandoned its claim in Count IV under 46 U.S.C. 41104(a)(9), but then asserts that MSRF attempted to resurrect this claim in its Brief and proceeds to write a lengthy argument as to why this claim should be rejected. Opposition Brief at 46-50. Yang Ming bases this assertion on nothing more than the conclusion in MSRF’s Brief which asked the Commission to grant relief under “Counts I, II, IV, and V.” In a footnote, Yang Ming states: “For now, we indulge in the assumption that this was just an oversight by Complainant’s Counsel, not an ethically improper attempt to re-assert a claim it had previously abandoned.” Opposition Brief at n. 39. Rather than wasting our time and the Commission’s time to address this issue, we question why Respondent’s Counsel didn’t indulge themselves in a collegial communication with MSRF’s Counsel to confirm that this was a mere typographical error rather than an attempt to resurrect a claim without any argument whatsoever.

2. Yang Ming Violated the MQC Provisions of the Contract.

Yang Ming correctly states that the Service Contract initially provided for a MQC of 100 TEUs and that the seventh amendment to the Service Contract on April 18, 2022, less than two weeks before the expiration of the contract, reduced the MQC to 10 TEUs. Amendment of service

contracts in this manner is commonplace and serves two purposes: (i) reducing the number of TEUs or FEUs that a shipper is required to tender to a carrier and eliminating the possible assessment of liquidated damages on the shipper and (ii) reducing the number of TEUs or FEUs that the carrier is required to provide the shipper. These amendments clearly fall within the definition of “practice” as used in the Shipping Act and the Commission’s regulations.¹

When used in the foregoing manner, the practice of amending a service contract at the end of its term to reduce the MQC to the number of units shipped is a just and reasonable practice. We submit, however, that it is unjust and unreasonable for an ocean common carrier to use this practice to avoid liability for practices that would otherwise violate the Shipping Act. In other words, amending a service contract to reduce the MQC because the carrier is unwilling or unable to provide service is unjust and unreasonable. This is the central issue to be decided in this case and our research indicates that this is an issue of first impression before the Commission.²

With respect to MSRF’s commitments under the Service Contract, Yang Ming states that “MSRF could have tendered all of its MQC in the first month of the Service Contract or the last month of the Service Contract. Or it could have tendered the cargo in even or uneven increments over multiple amounts.” Opposition Brief at 5. Yang Ming then contradicts this statement by citing Article 7 of the Service Contract, which provides in relevant part: “The Shipper agrees that to the extent reasonably possible, cargo committed under this Contract will be tendered *evenly* to Carrier for transportation throughout the duration of the Contract term.” *Id.* (emphasis added). Yang Ming

¹ The Commission’s Interpretive Rule on the Shipping Act of 1984 discussed the meaning of “practice or regulation” as used in the Shipping Act. 83 Fed. Reg. 45367 (Sept. 7, 2018). “A practice is something that ‘is habitually performed and implies continuity ... not an occasional transaction such as here shown.’” *Id.* at 45369, quoting *Investigation of Certain Practices of Stockton Elevators*, 8 F.M.C. 187, 200-201. (1964).

² The Commission has, however, been very clear that a common carrier must “refrain from ‘shutting out’ any person for reasons having no relation to legitimate transportation-related factors.” *New Orleans Stevedoring Co. v. Bd. of Commissioners of the Port of New Orleans*, Docket No. 00-11, 29 S.R.R. 1066, 1070, 2002 WL 33836158 (FMC June 28, 2002), *aff’d sub nom.* *New Orleans Stevedoring Co. v. FMC*, 80 Fed. Appx. 681 (D.C. Cir. 2003).

justifies this contradiction with the unsupported assertion that Article 7 is “aspirational and expectational only.” Opposition Brief at 6. This argument appears to throw the obligation to meet the MQC onto MSRF.

Curiously—but not surprisingly—Yang Ming fails to explain how MSRF could tender cargo when it was unable to book shipments. As established in MSRF’s Brief, Complainant repeatedly attempted to book shipments throughout the Service Contract term but was repeatedly rebuffed by Yang Ming. *See* ¶ 10 Reich Declaration, CX_0002.

Yang Ming’s understanding of its Article 7 commitment was explained in an email from Paul Goeke, a Yang Ming representative who was MSRF’s Account Manager on May 11, 2021, shortly after the Service Contract became effective. Mr. Goeke’s email was in response to a query from MSRF regarding communications MSRF’s shippers were receiving from Yang Ming’s office in Qingdao, China. The shipper was told that Yang Ming {

} Email from Rochi Mirasol to Paul Goeke dated May 11, 2021. Discovery Bates No. MSRF_Yang Ming_0004027, Supplement Complainant’s Appendix (“SCX”) 0001.

Mr. Goeke responded:

{

}

Discovery Bates No. MSRF_Yang Ming_0004027, Supplement Complainant’s Appendix (“SCX”) 0001.

Just one month later, Mr. Goeke responded to an email from David Reich, President of MSRF, asking why Yang Ming was unable to provide at least one container per week:

{

}

Discovery Bates No. MSRF_Yang Ming_0003708, SCX_0002 (emphasis added).

These communications establish that less than six weeks after the contract was effective, Yang Ming had already reneged on its commitment to provide an MQC of 100 TEUs over the contract term.

Section 41104 (a)(2) provides in relevant part that a common carrier cannot provide service that is not in accordance with the rates, charges, classifications, rules, and practices contained in a tariff published or a service contract. 46 U.S.C. § 41104(a)(2). Here, Yang Ming failed to provide service that was in accordance with the classifications, rules and practices contained in the Service Contract because it refused to provide MSRF with the agreed upon minimum quantity of cargo space from May 2021 to April of 2022. ¶ 9 Reich Declaration, CX_0002. More importantly, Yang Ming knew by June 2021 that it would not provide service in the contracted quantity. SCX_0002.

At the same time as Yang Ming was refusing to book shipments for MSRF, it was providing space to larger shippers. In an email from Paul Goeke to Rochi Mirasol dated May 25, 2021, Mr. Goeke stated: {

} Discovery

Bates No. MSRF_Yang Ming_0003908, SCX_0003. *See also* American Importers Accuse Shipping Giants of Profiteering, <https://www.nytimes.com/2022/05/04/business/shipping-container-shortage.html> (last visited May 19, 2021) attached as **Exhibit 1** (explaining how carriers prioritized larger customers over smaller companies like MSRF).

3. Yang Ming Violated 46 U.S.C. § 41104(a)(10)

Yang Ming argues that Section 41104(a)(10) only applies when a carrier completely “shuts out” a shipper for reasons unrelated to legitimate transportation related factors and cites Judge Wirth’s opinion in *OJ Commerce, LLC v. Hamburg Sud*, Docket No. 21-11, (Initial Decision, June 7, 2023) to support this conclusion. “[T]he facts in [*OJ Commerce*] are night and day from the facts here and Judge Wirth’s opinion ... actually supports dismissal of MSRF’s claim in this proceeding.” Opposition Brief at 52, *footnote omitted*. Once again, Yang Ming’s conclusion is incorrect.

One of the issues in *OJ Commerce* was whether Hamburg stopped dealing or negotiating with respect to fulfilling its contractual commitments under an existing service contract. *I.D.* Docket No. 21-11 at 31. Similarly, here the issue is whether Yang Ming had effectively stopped dealing with MSRF—even though certain Yang Ming employees continued to communicate with MSRF—when it failed to provide cargo space under its MQC. The inability of MSRF to book shipments during the contract term in a quantity even close to the MQC is clear evidence of Yang Ming’s refusal to deal.

MSRF has established the unreasonableness of Yang Ming’s refusal to deal. This is clear from the MSRF’s email requests for bookings and Yang Ming’s refusal to comply.

4. MSRF Has Established a Right to Reparations.

The Shipping Act authorizes the Commission to award damages for “actual injury caused by a violation of [the Act].” 46 U.S.C. 41305(b). As discussed above, MSRF has established that Yang Ming has violated the Shipping Act.

a. The Service Contract does not Preclude MSRF from Proving Injury.

Yang Ming argues that MSRF's exclusive remedy for Yang Ming's failure to provide sufficient space under the Service Contract is to request a reduction in the MQC to the quantity actually tendered. Opposition Brief at 63. However, Respondent also recognizes that the Initial Decision in *OJ Commerce* "held that similar provisions in another service contract did not control the availability of reparations in a case not based on breach of contract." Opposition Brief at 63, *citing OJ Commerce, supra*, Initial Decision at 47 (*emphasis deleted*).

As MSRF has established in Section I, *supra*, Yang Ming's claim that this is a simple breach of contract case is meritless. Yang Ming's practice of reducing the MQC to the actual quantity moved is unreasonable in this situation. Thus, MSRF is not precluded from proving damages.

b. MSRF's Damages Worksheet is Admissible.

Yang Ming argues that MSRF's Damages Worksheet (MSRF's Appendix Exhibit E, Damages Calculations (CX_159 to CX_164)) is irrelevant, immaterial, unreliable, not probative, and does not represent the underlying documents. These arguments are specious and represent Respondent's willful refusal to understand the analysis.

The Damages Worksheet is based on information maintained by MSRF in the ordinary course of managing its business. Reich Declaration, ¶ 11, CX_0002. It lists all shipments where MSRF paid freight charges in excess of the Service Contract rates. See MSRF's Appendix Exhibit E, Damages Calculations (CX_159 to CX_164). The difference between the freight charges paid and the Service Contract rate was calculated for each shipment. The total of this difference was then divided by the total number of containers to determine the average excess charge per container. The average excess charge was then multiplied by the number of containers that Yang

Ming failed to ship during the original term of the Service Contract. This is the amount claimed as damages.

A similar calculation was used to determine the transload and chassis expenses incurred by MSRF due to Yang Ming's failure to provide CY to CY service as provided in the Service Contract. Instead, MSRF was forced to obtain carriage to ports, then transload the shipments into trucks for transport to inland destinations.

The documents supporting the Damages Worksheet were provided to Yang Ming in discovery. References to the Bates numbers of the documents relevant to each line of the Damages Spreadsheet were included in the Damages Spreadsheet for ease of reference.

MSRF's analysis is relevant because it represents MSRF's actual injury from Yang Ming's violation of the Shipping Act. It is the amount of money MSRF paid in excess of the shipping rates provided for in the Service Contract. Moreover, we submit that MSRF's damages analysis is dissimilar to those rejected by Judge Wirth in *OJ Commerce*. MSRF's analysis is not based on unrelated shipments, but is based on actual shipments from the ports and on the routes where MSRF attempted to book shipments with Yang Ming.

The analysis is material because it is offered to provide the damages element of MSRF's claim.

The information in the Damages Worksheet is reliable. Yang Ming's arguments to the contrary exemplify Respondent's willful refusal to understand the document. The "pool of 265.5 TEUs" is the same pool of shipments used in Docket No. 22-20 except for a small number of shipments from one vendor on a route not covered by the Service Contract. Even more obvious is the fact, which was indicated in the Damages Worksheet, is that MSRF tracked the information using 40' High Cube containers. This number was converted to TEUs using the TEU equivalent

of 2.25 TEU per 40' high cube. MSRF made this conversion because the Service Contract MQC was expressed in TEUs.

The Damages Worksheet is clearly probative. As discussed in the previous paragraph, the information is relevant.

The remainder of Yang Ming's arguments regarding the Damages Worksheet are more of the same. They are blatant attempts to throw doubt on a valid method of calculating damages.

V. CONCLUSION

The record clearly shows that Yang Ming violated the Shipping Act by engaging in conduct that was unjust and unreasonable with respect to the terms of the Service Contract between May and April 2022. Accordingly, MSRF respectfully request that the Presiding Office grant its request for reparations on Counts I, II, and V of its Complaint in the amount of \$633,013.33, for its attorney's fees and costs, and for all other relief the Commission deems fair and proper.

Respectfully submitted,

CLARK HILL PLC

/s/ R. Kevin Williams

R. Kevin Williams
312.985.5907
kwilliams@clarkhill.com
130 E. Randolph Street, Suite 3900
Chicago, IL 60601
Counsel for Complainant MSRF, Inc.

Dated: July 3, 2023

CERTIFICATE OF SERVICE

I certify that on July 3, 2023, a true and correct copy of the foregoing document was served by email on all counsel of record in accordance with 46 CFR Part 502 and the Commission's Initial Order of August 22, 2022.

Attorneys for Respondent Yang Ming:

Rebecca A. Fenneman
rfenneman@jeffreyyfenneman.com

Eric C. Jeffrey
ejeffrey@jeffreyyfenneman.com

Jeffrey/Fenneman Law + Strategy, PLLC
700 12th Street, NW
Suite 700
Washington, DC 20005

/s/ R. Kevin Williams
R. Kevin Williams
kwilliams@clarkhill.com
312.985.5907
Clark Hill PLC
130 E Randolph Street
Suite 3900
Chicago, IL 60601

EXHIBIT 1

American Importers Accuse Shipping Giants of Profiteering

Carriers are exploiting the supply chain chaos to breach contracts and jack up rates, importers say in asking for federal intervention.



By Peter S. Goodman

May 4, 2022

David Reich assumed that a contract was a contract.

His Chicago company, MSRF, assembles gift baskets for Walmart, Walgreens and other huge chains, importing key elements such as mugs and bowls from China. To move his goods across the Pacific, he has relied on agreements with some of the world's largest container shipping companies.

But last year, just as Mr. Reich was preparing for the holiday season, he discovered that his contracts appeared to guarantee nothing.

On paper, Mr. Reich was guaranteed a minimum number of containers per year going from China to Chicago, at prices between \$4,000 and \$5,000 per journey, seemingly providing a handle on his future costs. Yet over the past year, HMM, a South Korean shipping giant, has moved only nine of his promised 25 containers, while Yang Ming Marine Transport, a Taiwanese firm, has transported only four of 100 loads, according to Mr. Reich and documents examined by The New York Times.

The carriers refused to confirm bookings even when his company assented to special premium charges, Mr. Reich said. Facing calamity, he has been forced to pay prevailing market rates, spending an average of \$15,000 per container.

"We are finding it impossible to get containers right now," Mr. Reich said. "It is just brutal."

His frustrations are part of a chorus of grievance directed at the 10 companies that dominate international shipping, all of them based outside the United States. In a global economy long dependent on cheap ocean cargo, the chaos roiling the seas has provoked accusations of monopolistic practices by the shipping giants, prompting businesses to prepare complaints they plan to file at the Federal Maritime Commission, which regulates the industry. It has also triggered legislation in Congress aimed at beefing up the commission's authority to challenge abuses by shipping firms.

"It's just them manipulating the market to see how high they can drive the price," said Jason Delves, chief executive of F9 Brands, a Tennessee company that imports flooring, cabinetry and outdoor furniture, predominantly from Asia. "Contracts are not worth the paper they are written on these days. They just don't honor them."

The five largest container-shipping companies collectively made profits of more than \$64 billion last year — an increase of \$41 billion from the previous year — according to a report compiled by Accountable.US, a watchdog organization.

This year, container shipping carriers are on track to log some \$300 billion in profits before taxes and interest, according to a recent estimate from Drewry, a maritime industry research and consulting firm.

Yang Ming did not respond to questions for this article. After publication, a representative for HMM, Hyungjoon Kim, said in a statement that the carrier had not violated its contract with Mr. Reich's company and was "supporting all its customers to the best of its ability under the current market conditions."

The shipping industry maintains that higher prices and profits reflect shifts in supply and demand combined with impediments to the smooth flow of goods through the broader supply chain, from warehouses overwhelmed by goods to trucking fleets struggling to hire enough drivers.



Yang Ming Marine Transport, a Taiwanese firm, has transported only four of 100 loads for MSRF, according to Mr. Reich and documents examined by The New York Times. Erin Schaff/The New York Times

"When you say, 'What's fair?,' you have to ask a fundamental question," said John Butler, president of the World Shipping Council, an industry association in Washington. "Do you trust the market, or do you only trust the market when it's a buyer's market?"

But American importers — especially small and medium-size businesses assailed by disruptions to trade brought by the coronavirus pandemic — accuse the carriers of refusing to honor their contracts, denying them space on vessels and prioritizing shipments for larger and more lucrative customers like Amazon and Walmart.

Mr. Delves's business has contracts securing rights to move 1,040 containers a year full of cabinets and home furnishings from China, Vietnam, Malaysia and Indonesia to U.S. ports, at an average cost of \$6,970 per shipment, he said. But over the last year, carriers have delivered only 166 containers at the contracted rate.

Desperate to secure inventory, Mr. Delves has resorted to effectively bidding for containers, spending an average of about \$15,000 per container on 355 shipments, while shelling out for “premium service” on another 163 loads at an average of \$22,500 each.

“The only thing that premium and superpremium guarantee you is that you are paying more for that container,” Mr. Delves said. “It’s not guaranteeing that you’re going to get a container, or it’s going to get on the ship.”

Frequently, carriers have refused to confirm bookings on specific container vessels, citing a lack of space, he said, even as his own queries to third-party shipping agents yield offers of passage on the same ships, at rates three or four times those in his contracts.

“If we were doing what they are doing, we’d get arrested,” Mr. Delves said.

Surging shipping costs have intensified inflation around the world, according to recent research from the International Monetary Fund. The increase in shipping rates last year will lift the price of goods by an estimated 1.5 percent worldwide this year. And the war in Ukraine has since worsened disruptions, almost certainly compounding and extending the impact on consumer prices, the I.M.F. researchers noted in a recent blog post.

President Biden used his State of the Union address to accuse the shipping industry of exploiting disruption to drastically raise prices. He unleashed a joint task force staffed by the Justice Department and the Federal Maritime Commission to investigate alleged market abuses by the carriers.

In an interview, the chairman of the commission, Daniel B. Maffei, vowed that his agency would “vigorously investigate any specific claims against an ocean container carrier.” But he noted that contract disputes must generally be adjudicated in court. And he added that, frequently, claims of unfair treatment from importers turned out to violate only “the spirit of the contract without violating the letter of the contract.”



When his company was refused bookings on carriers, Mr. Reich said, he had to pay market rates, spending an average of \$15,000 per container. Lyndon French for The New York Times

Mr. Reich's contract with Yang Ming includes a provision that appears to give the carrier latitude. The shipping company is obligated to furnish the minimum number of containers, while "taking into account any adverse impact due to market or industry conditions not foreseen or controlled by carrier."

For decades, importers had little reason to scrutinize the fine print of their agreements with their carriers, because space on ships was cheap and abundant. The crisis facing the importers now is the product of a previously unknown state of affairs — not enough ships to manage extraordinary demand in the face of market turmoil delivered by the pandemic.

Some experts maintain that the current state of play is the predictable result of the deregulation of the shipping industry that began in the 1980s under the Reagan administration.

In passing the Shipping Act of 1984, Congress lifted antitrust strictures that had limited the power of shipping companies. The law gave the carriers the right to forge alliances and coordinate their prices.

So began a wave of consolidation. Today, the 10 largest carriers are organized into three major alliances not unlike those that prevail in the airline industry, with members sharing routes and bookings.

Yet even under the changes of 1984, cargo prices had to be disclosed publicly and made available on equal terms to all shippers. That changed in 1998, during the Clinton administration, as Congress gave the carriers the right to negotiate contracts with customers in private, at undisclosed terms.

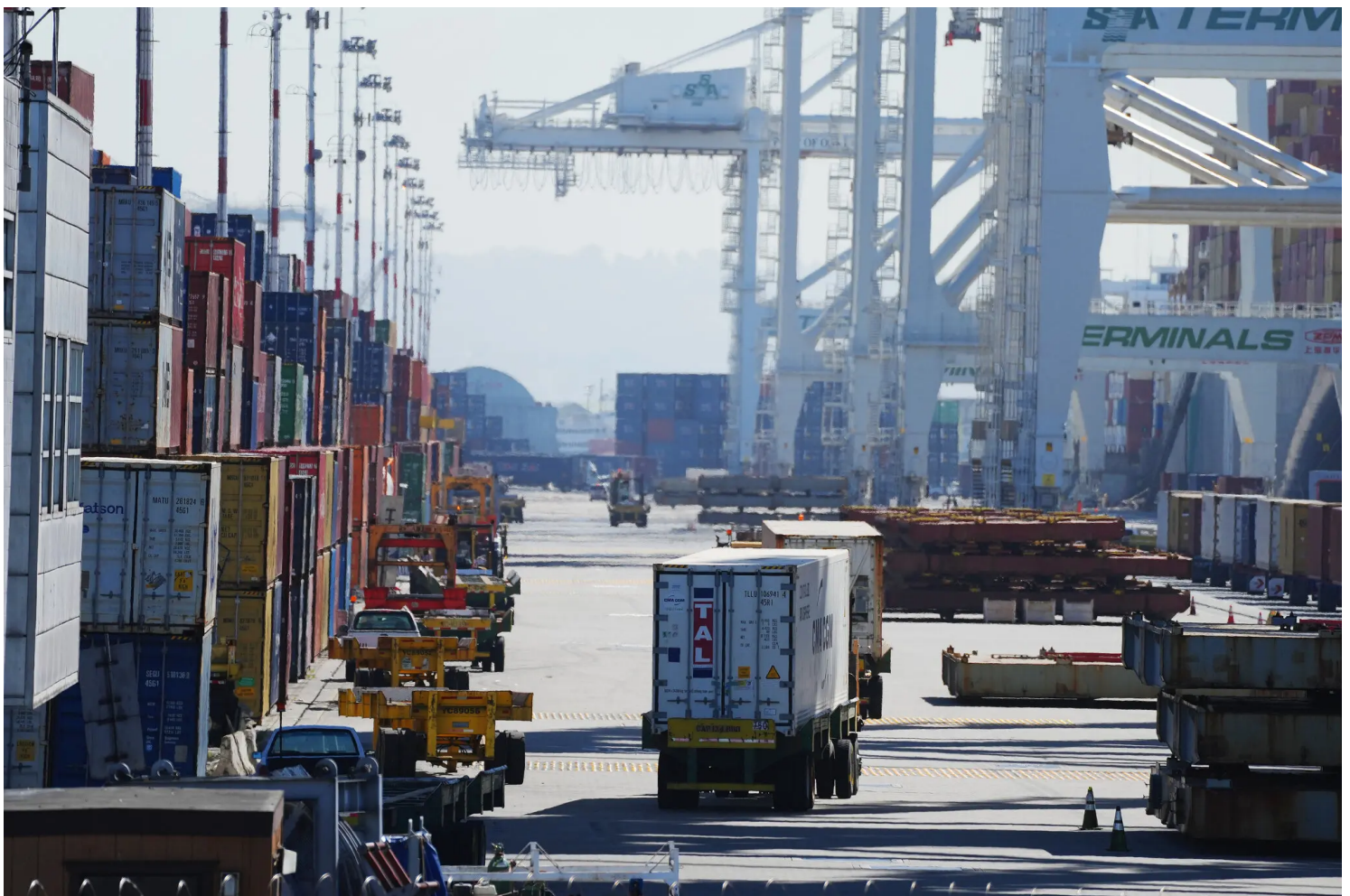
“The bill’s provisions allowing completely secret contracts go too far, and risk discrimination and abuse adverse to U.S. trade interests,” warned the Federal Maritime Commission’s chairman at the time, Harold J. Creel Jr., during a congressional hearing in 1997.

But such dangers did not materialize for decades, because of a glut of container space. State-owned conglomerates in Asia subsidized the construction of shipping fleets as a means of boosting their national exports, making vessels plentiful.

That propelled the advance of globalization, allowing mammoth-scale retailers like Walmart, Amazon and Home Depot to scour the world for lower-cost factory goods.

It also placed the largest shipping companies in a position of extraordinary dominance.

Between 2011 and 2018, the three shipping alliances expanded their share of the container market to about 80 percent from 29 percent, according to a report from the International Transport Forum, an intergovernmental body based in Paris. On trans-Pacific routes, the three alliances controlled 95 percent of the market.



The Port of Oakland, a large West Coast container terminal. Ten companies, all outside the United States, dominate international shipping. Jim Wilson/The New York Times

“We legalized secret rebates and monopolization in shipping, which led to consolidation, bankruptcies, and now price gouging and huge backlogs that favor big retailers and ocean carriers over everyone else,” said Matt Stoller, director of research at the American Economic Liberties Project, an antimonopoly research and advocacy organization in Washington.

The pandemic was the shock that revealed the folly of this course, he added.

As Covid-19 emerged in China in early 2020 and then spread around the world, carriers cut capacity — mothballing ships and canceling routes — on the assumption that the world was headed into a severe economic downturn that would limit demand for a vast range of products.

But the pandemic did not limit demand so much as change its composition. Deprived of access to offices and gyms during months of lockdown, Americans spent aggressively on office furniture for their bedrooms and exercise equipment for their basements.

The result was a tremendous surge in demand for shipping containers carrying goods from factories in Asia to consumers in the United States, prompting floating traffic jams off American ports, from Southern California to Savannah, Ga.

The largest American importers, including Amazon and Walmart, have chartered their own vessels to navigate the turmoil. But smaller companies have found themselves at the mercy of carriers that can be choosy about whose cargo they will carry.

In Chicago, Mr. Reich's contracts were set to expire at the end of April. Yang Ming and HMM have refused to even negotiate renewals, he complained.

"They said, 'Sorry, we're too busy,'" Mr. Reich said. "They have taken care of the big customers, and there is no room at the inn."

Peter S. Goodman is a global economics correspondent, based in New York. He was previously London-based European economics correspondent and national economics correspondent during the Great Recession. He has also worked at The Washington Post as Shanghai bureau chief. @petersgoodman

A version of this article appears in print on , Section B, Page 1 of the New York edition with the headline: U.S. Importers Accuse Shippers of Price Gouging